AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X

ANNUAL EXAMINATIONS 2021

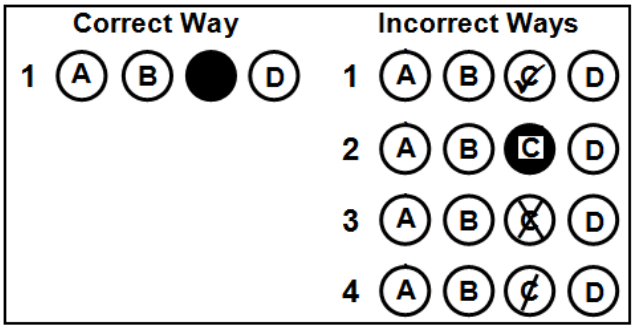
Business Studies

Time: 1 hour 40 minutes Marks: 50

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 50 only.
4. In each question, there are four choices A, B, C, D. Choose ONE. On the answer grid, black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. The marks obtained on the 50 MCQs will be equated to the total marks of 75 for the theory examination results.
8. You may use a simple calculator if you wish

1. The current account deficit of an import dependent country amounted to $10 million.

   If the government of the country has imposed tariffs, then the POSSIBLE impact of this step on the imports and inflation would be

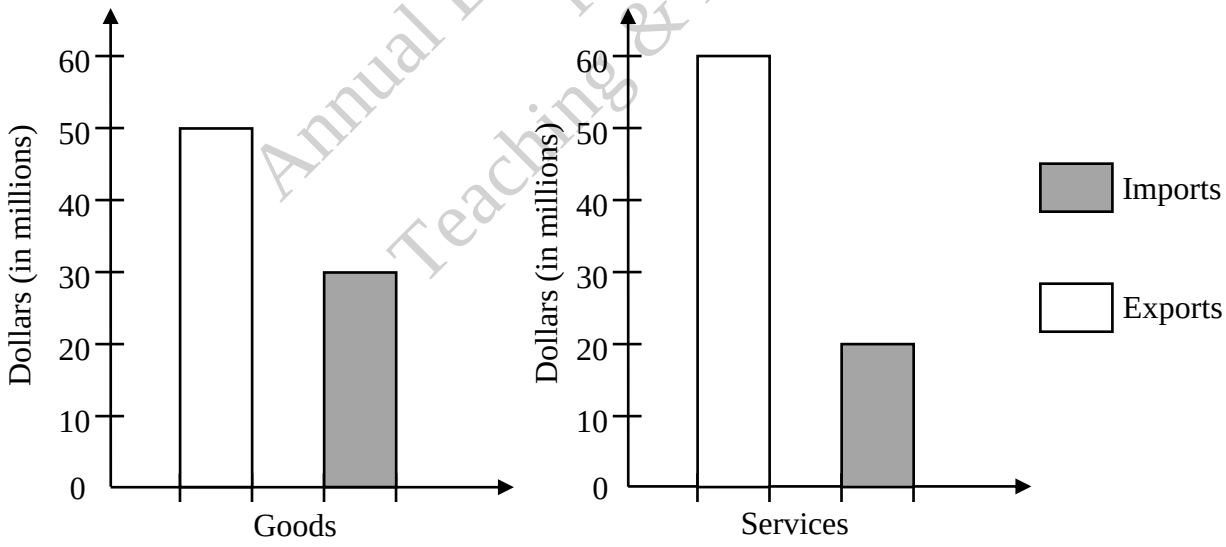
	Imports	**Inflation**
A	increase	increases
B	increase	decreases
C	decrease	increases
D	decrease	decreases

2. On January 01, 2020, the directors of Mani Pharmaceutical Limited decided to amalgamate the business with Basha Food Pack Manufacturer.

   The type of integration depicted in the given scenario is known as

   A. upward integration.
   B. horizontal integration.
   C. downward integration.
   D. conglomerate integration.

3. The given graphs show the balance of payments (BoP) status of a country.



   The possible effect of the BoP status in the given graphs on the economy will be a/ an

   A. increase in the foreign reserves.
   B. decrease in economic growth.
   C. decrease in the employment rate.
   D. increase in foreign debt to finance imports.

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4. Read the given features of a business organisation:

- Democratically operates (as views of majority matters)
- Economic participation by members
- Autonomy and independence
- Concern for the community

The given features are of

A. public companies.
B. joint ventures.
C. cooperatives.
D. franchises.

5. Which of the following is considered as an example of a joint venture private sector business organisation?

A. Pak Suzuki Motors Company Limited
B. Habib Bank Private Limited
C. Shell Pakistan Limited
D. Reckitt and Colman Pakistan Limited

6. The GREATEST merit of a public sector business organisation is that it

A. curtails the inflation.
B. protects public interest.
C. makes tax collection efficient.
D. improves production efficiency.

7. The Aman Foundation focuses on catalysing impactful solutions in Health and Education in Pakistan through direct interventions, convening powerful partnerships and advocating on behalf of the underserved people of Pakistan.

(Source: www.amanfoudation.org)

Based on the given information, the MAJOR objective of the organisation is to

A. generate profit.
B. expand its services internationally.
C. provide social services across the country.
D. improve value addition services to clients.

8. If a government manages to control its expenditure and expand the tax net, then in the long run, this will result in a/ an

A. budget deficit.
B. budget surplus.
C. increase in wage rates.
D. increase in consumer disposal income.

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9. The government of a country maintains a steady inflation in the economy.

   Due to this, in the long run, the economy will face economic

   A. growth.
   B. recession.
   C. boom.
   D. crisis.

10. The balance of payments (BoP) of country Y shows that its imports are much more than its exports. In order to resolve this issue, the government has imposed a quota on imported goods.

    The possible effect of the given measure of the government on businesses will be a/ an

    A. appreciation in the foreign exchange rate.
    B. decrease in the demand of exported goods.
    C. possibility of local business to produce more.
    D. opportunity to explore the international market.

11. Shabbir and Bilal are business competitors. Due to the same nature of the business, they are planning to merge their businesses.

    The merger between the above mentioned businesses is termed as the

    A. vertical integration.
    B. forward integration.
    C. horizontal integration.
    D. conglomerate integration.

12. Alpha Private Limited Company is growing every day and to capture the market share, the company decided to purchase Beta Private Limited Company with an agreement between the directors and the shareholders of both companies. It was also decided that Alpha Company will have the authority of decision making.

    The above form of business expansion is classified as

    A. pool.
    B. cartel.
    C. merger.
    D. take over.

13. In order to increase the revenue, the Government of Pakistan is planning to increase the tax rate.

    This step of the government is classified as the

    A. fiscal policy measure.
    B. foreign policy measure.
    C. monetary policy measure.
    D. exchange rate policy measure.

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14. Rafia is an expert beautician. She does hair styling, manicures and other beauty treatments for women.

The method of production used by Rafia is

A. job production.
B. flow production.
C. mass production.
D. batch production.

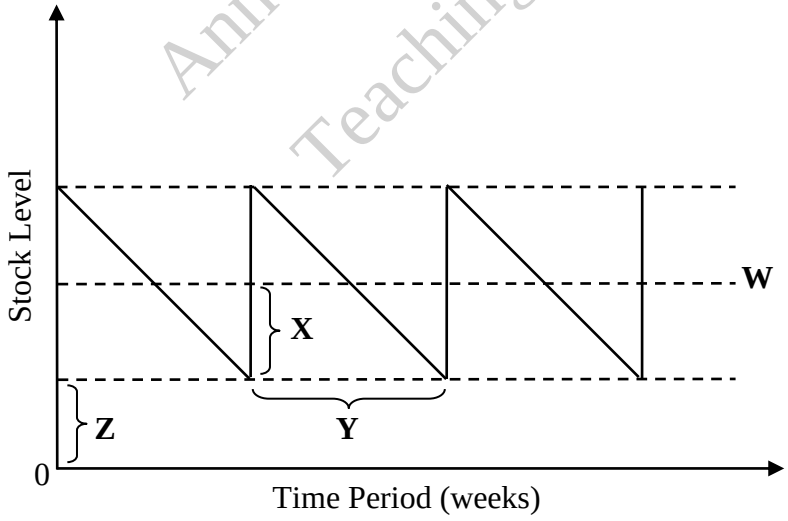
15. The given table shows the total output and the total cost incurred by four departments of Starlight Motors for the year 2019.

Particular	Department P	Department Q	Department R	Department S
Total cost incurred (Rs)	924,610	738,250	845,760	894,350
Total output (units)	6,340	4,865	5,745	5,930

The department that has the maximum productivity is

A. P.
B. Q.
C. R.
D. S.

16. In the given graph of inventory control, the reorder level is depicted as



A. W.
B. X.
C. Y.
D. Z.

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17. The level of raw materials of a particular item that must be kept in the store at all times is known as the

A. reorder level.
B. buffer stock level.
C. maximum stock level.
D. minimum stock level.

18. The method of production that is rigid and requires a huge amount of capital is known as

A. job production.
B. flow production.
C. batch production.
D. just in time production.

19. The method of production depicted in the given image is



A. job production.
B. flow production.
C. mass production.
D. process production.

20. Read the following merits and demerits of the methods of production.

Merits	Demerits
Economies of scales can be achieved as cost per unit will be low.	Standardised product produced.
Automated assembly lines save time and money.	High initial set-up costs of automated assembly lines.
Quality systems can be built into the production at each stage.	Workers find work repetitive and boring.

The given merits and demerits are of

A. job and flow production.
B. job and batch production.
C. flow and process production.
D. batch and process production.

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21. The following data is extracted from the books of Al-Mehran manufacturers:

Fixed cost amounted to	Rs 50,000
Variable cost amounted to	Rs 85,000
No. of unit produced	10,000 units

The per unit productivity of Al-Mehran would be

A. 0.074
B. 0.285
C. 8.5
D. 13.5

22. The ratio between the value added output to the efficient utilisation of resources is known as

A. planning.
B. promotion.
C. production.
D. productivity.

23. All of the following are the advantages of 'Flow Production' EXCEPT

A. goods are sold quickly because of low prices.
B. production of goods can be done on a large scale.
C. increased efficiency because of capital intensive production.
D. maximum customer satisfaction because goods are customised.

24. The following was observed during a survey of a production house:

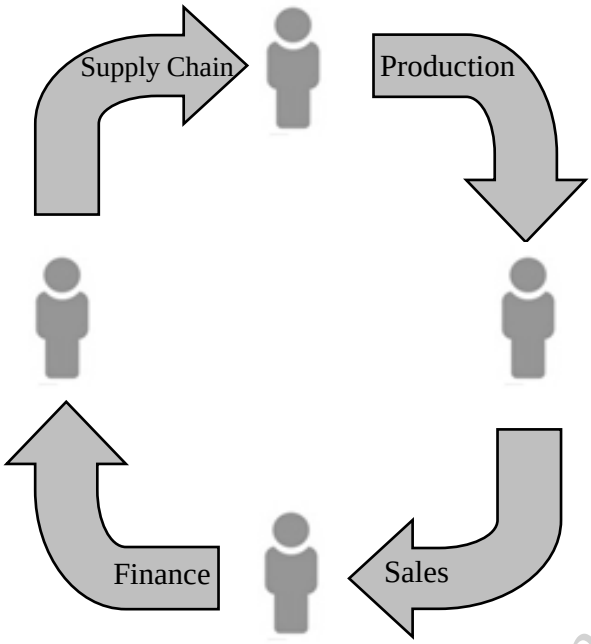
- Most of the workers work in close supervision.
- Workers avoid work when possible.
- Most of the workers avoid taking responsibilities.
- Workers were pushed to perform well.
- The workers have no internal motivation towards their job.

According to McGregor's theory of motivation, which leadership style should be used to overcome the given situation?

A. Autocratic
B. Democratic
C. Laissez faire
D. Transactional

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25. The given picture shows that an individual is transferred to various departments. This transfer is done after every three months.



The given picture and description best describes

A. job rotation.
B. job transfer.
C. job training.
D. job enrichment.

26. Rubina is human resource manager in a company. She identifies different roles and ensures that she assigns the right person at the right position. She also delegates authority and provides directions to the newly recruited employees.

The responsibility carried out by Rubina can be BEST described as

A. liaising.
B. regulating.
C. co-ordinating.
D. commanding.

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27. Following are the types of decisions:

I. tactical decision.
II. strategic decision.
III. operational decision.

Yunus has been involved in a decision making process in which he takes short term decisions on a daily basis. These decisions are administrative in nature, which can be implemented quickly and tend to carry little risk.

The type of decision in the given description can be identified as

A. I only.
B. III only.
C. I and II.
D. II and III.

28. With reference to Herzberg's two factor theory, all of the following are motivators EXCEPT for

A. promotion.
B. recognition.
C. work conditions.
D. personal growth.

29. All of the following are the responsibilities of a manager EXCEPT

A. commanding.
B. co-ordinating.
C. cooperating.
D. controlling.

30. Which of the following BEST distinguishes between management and leadership?

	Management	Leadership
A	Process of getting things done	Process of influencing others by doing
B	Process of communicating instructions	Process of assigning tasks
C	Process of assessing risks	Process of managing risks
D	Process that creates change	Process that reacts to a change

31. Strategic operational decisions are MOSTLY taken by

A. chief executive officer.
B. chartered accountants.
C. operational managers.
D. board of trustees.

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32. A management makes a decision based on the following questions

- What modification in the product will be done?
- Which sector of the market will be targeted?
- What sort of materials and human resources will be engaged?

This type of business decision is categorised as

A. strategic decision.
B. tactical decision.
C. operational decision.
D. technical decision.

33. Herzberg's theory of motivation focuses on two factors which basically covers

A. job rotation and job routine.
B. job designation and job dedication.
C. job specification and job description.
D. job satisfaction and job dissatisfaction.

34. McGregor's theory of motivation focuses on two theories that are

A. theory X and theory Y.
B. theory Y and theory Z.
C. theory A and theory B.
D. theory M and theory N.

35. Ahsan Associates deals in providing IT solutions. The business has instructed all their managers to take decisions on their own to facilitate customers regarding product features and marketing promotions.

The given policy of delegation of power is classified as

A. autocracy.
B. automation.
C. centralisation.
D. decentralisation.

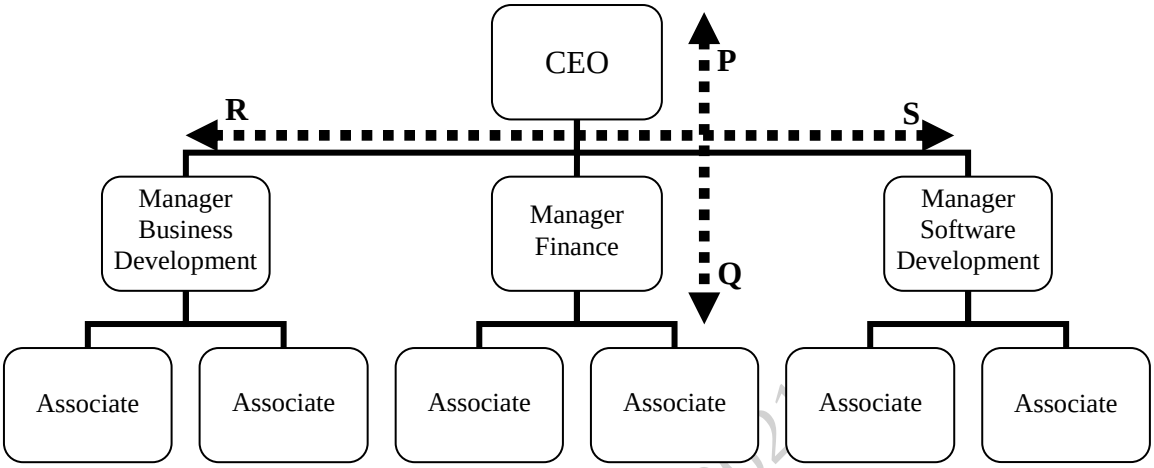
36. Amin is working as a manager of an organisation. He is responsible for the subordinates of department X. He leads his team by keeping the company's objectives in mind.

With reference to the types of managers, Amin is classified as a/ an

A. line manager.
B. staff manager.
C. acting manager.
D. general manager.

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37. Read the given organogram



In the given organogram, the dotted lines **PQ** and **RS** denote

	Line PQ	**Line RS**
A	chain of command	span of control
B	span of control	chain of command
C	roles and responsibility	chain of command
D	authority and number of coworkers	span of control

38. The span of control refers to the numbers of

A. managers in a business.
B. stakeholders in a business organisation.
C. employees in a business organisation.
D. subordinates an individual is responsible to deal with.

39. All of the following are considered as merits of having an organisational chart EXCEPT that it

A. exhibits a clear reporting structure.
B. helps new employees to understand where they stand.
C. facilitates in planning for the organisation.
D. promotes harmony amongst the workers.

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40. Samba Company is planning to launch its new product. The product is a luxury item targeted for specific customers only.

The type of market explained above is commonly known as the

A. mass market.
B. niche market.
C. resource market.
D. consumer market.

41. Rahat has recently established a restaurant in a busy commercial area of Karachi. He plans to provide fresh meals at a reasonable rate.

With reference to the given situation, the strengths of Rahat's business would be

A. tasty food, better quality service and fresh meals.
B. large market share, better quality food and competition.
C. better interior, no dining area and high employee turnover.
D. large number of customers, no competition and government laws.

42. The missing element in the given table of the marketing mix is

Price	**Place**
Product	**?**

A. packaging.
B. promotion.
C. presentation.
D. participation.

43. The features of a phase of the product life cycle are as follows:

- The revenue of the firm increases at a decreasing rate.
- The pricing strategy is either competitive or promotional because of intense competition.

The given features BEST describe the phase of

A. growth.
B. decline.
C. maturity.
D. development.

44. Businesses conduct SWOT analysis in all of the following conditions EXCEPT

A. before taking any business decisions.
B. before any internal or external audits.
C. after any unusual losses or business casualty.
D. after completion of a successful business deal.

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45. A marketing plan is BEST defined as an operational document that

A. covers all the business risks a business may face during the advertisement.
B. sums up all the direct and indirect expenses a business pays during an advertising campaign.
C. includes all the detailed features regarding the product manufactured and cost of production.
D. outlines an advertising strategy that an organisation will implement to generate leads and reach its target market.

46. Saleem is given the responsibility to draw a marketing plan for a departmental store as the overall market is growing rapidly. The store daily receives 50 walk-in customers with an average purchase of Rs 1,000. The store needs to increase the customers by 50% and purchases by 25%.

The task assigned to Saleem will be considered as the

A. business expansion objective.
B. market share expansion objective.
C. pricing and promotion objective.
D. branding and product specification objective.

47. Anna establishes a home-based business where she specialises in traditional desi food. The food items in the menu are set at low prices and she is giving free tasting samples to clients for introducing them to the dishes. She is aiming to get low returns but a high sales volume.

With reference to the product life cycle, the phase in which Anna is operating is the

A. introduction phase.
B. growth phase.
C. maturity phase.
D. decline phase.

48. Being a middleman, Aslam purchases wheat in bulk from farmers and sells it to flour mills and bread manufacturers.

Based on the given situation, the market in which Aslam is working can be referred as a/ an

A. mass market.
B. niche market.
C. resource market.
D. industrial market.

49. Zia Manufacturers focuses on the quantity of output without considering the quality of output.

In the given situation, the approach focused by Zia is referred as the

A. sales approach.
B. marketing approach.
C. consumer approach.
D. production approach.

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50. The marketing department of a departmental store has designed the following questionnaire to be filled by the customer visiting their store:

I. How often do you visit the store?

☐ daily ☐ weekly ☐ monthly

II. How much is your total bill in a visit?

☐ more than 1,000 ☐ less than 5,000 ☐ more than 5,000

III. How did you find the services of the store?

☐ satisfactory ☐ non-satisfactory ☐ no comments

Which of the given question(s) is/ are qualitative in nature?

A. I only
B. III only
C. II and III
D. I and II

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